

Magrub Alam v. Purvanchal Vidyut Vitran Nigam Ltd.

High Court of Judicature at Allahabad · Division Bench · 28 November 2019 · Writ-C No. 38959 of 2019 · **Writ disposed; consumer to file objections; EE to pass speaking final order; s.127 if aggrieved; coercive action stayed; supply restored on Rs. 10 lakh deposit.**

HEADNOTE

On a challenge to a compounding-fee and assessment notice alleging want of hearing and Supply Code non-compliance, the Allahabad High Court did not examine the demand. It directed the consumer to appear before the Executive Engineer with objections, required a speaking final order within four weeks, stayed coercive recovery for seven weeks, restored supply on deposit of Rs. 10 lakh, and left any further challenge to an appeal under Section 127 of the Electricity Act, 2003.

FACTUAL SUMMARY

Magrub Alam, a consumer of Purvanchal Vidyut Vitran Nigam Ltd., challenged a notice dated 11 October 2019 by which the Executive Engineer demanded a compounding fee of Rs. 9 lakh together with assessed revenue of Rs. 36,52,253. He alleged that the licensee was taking coercive action without an opportunity of hearing and without following the U.P. Electricity Supply Code, 2005. Supply stood disconnected. Counsel for the petitioner and the electricity department were heard.

HOLDING-UNITS

HOLDING-UNIT · EA2003::127

relegation after speaking final assessment

HOLDING

Where a consumer challenges a compounding-fee and assessment notice for want of hearing and Supply Code compliance, the High Court may, without examining the demand, direct the consumer to appear before the Executive Engineer with objections, require a speaking and reasoned final order within a fixed period, stay coercive recovery meanwhile, restore supply on a specified deposit, and leave any challenge to that final order to an appeal under Section 127 of the Electricity Act, 2003. ¶ 4-8

PRINCIPLE TAGS

s127-appeal-lies-only-against-final-order-not-provisional-assessment The Court directed the Executive Engineer to pass a speaking 'final order' after hearing the consumer, and opened Section 127 only against that final order, not the 11.10.2019 notice under challenge. ¶ 4, 6

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VALIDITY OF THE COMPOUNDING FEE OF RS. 9 LAKH AND THE ASSESSED REVENUE OF RS. 36,52,253 DEMANDED BY THE NOTICE DATED 11.10.2019

Left to the Executive Engineer's speaking final order and, if the consumer remains aggrieved, to a Section 127 appeal. ¶ 1, 4, 6

NOT DECIDED — WHETHER THE LICENSEE AFFORDED AN OPPORTUNITY OF HEARING OR COMPLIED WITH THE U.P. ELECTRICITY SUPPLY CODE, 2005 BEFORE THE IMPUGNED NOTICE

The allegation was recorded but not decided; the consumer was directed to appear and file objections. ¶ 3-4